WS Global CIO Office
26 June 2026

Weekly Market View

Deciphering Kevin Warsh

→ Through his first post-meeting briefing, Fed Chair Warsh has tightened financial conditions by focussing on lowering inflation. His comments have fuelled rate hike expectations, bolstered the dollar, and dragged down gold and equities.

→ We believe that's part of the plan. Warsh is talking tough on inflation precisely to tighten near-term financial conditions, so he does not have to eventually deliver the rate hike markets are expecting.

→ President Trump's interim deal with Iran should help. The 35% plunge in the US crude oil price from its April peak to almost pre-conflict levels should ease inflation in the coming months, allowing Warsh to hold rates this year. The US 10-year government yield has already dropped 30bps since May's peak as oil prices plunged.

→ A rate pause should cap the USD and support gold prices, while solid earnings support risk assets. Meanwhile, we continue to diversify equity exposure across regions and sectors.

Opportunities in US communications services: AI monetisation, attractive value

Bullish AUD bonds: Tactically bullish on AUD, attractive absolute yields

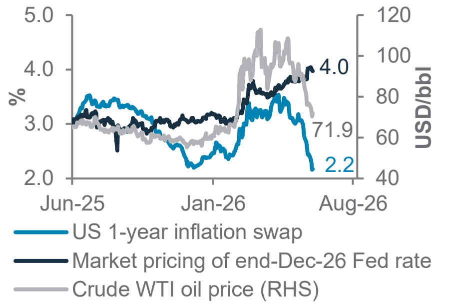
Limited USD/JPY upside: intervention risk

Important disclosures can be found in the Disclosures Appendix.

Charts of the week: Cooling inflation drivers and earnings upgrades

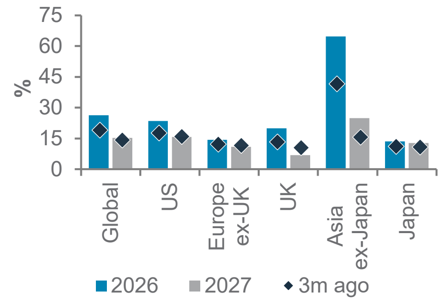
Oil price drop to cool inflation, allowing the Fed to hold rates; IPOs remain benign vs. history; earnings upgrades persist

US crude oil, 1-year inflation swap, market estimate of end-December Fed rate



US equity issuance and retirement as percentage of market capitalisation

Consensus earnings estimates for key equity markets vs. three months ago



Source: Bloomberg, FactSet, Standard Chartered

Editorial

Deciphering Kevin Warsh

Strategy summary: In his first briefing as Fed Chair, Warsh has tightened financial conditions by focussing on lowering inflation. His comments have fuelled rate hike expectations, bolstered the dollar, and dragged down gold and equities.

We believe that's part of the plan. Warsh is talking tough on inflation precisely to tighten near-term financial conditions, so he does not have to eventually deliver the rate hike markets are expecting. President Trump's interim deal with Iran should help. The 35% plunge in the US crude oil price from its April peak to almost pre-conflict levels should ease inflation in the coming months, allowing Warsh to hold rates this year. A rate pause should cap the USD and support gold prices, while solid earnings support risk assets. We continue to diversify equity exposure across regions and sectors.

Sounding hawkish: Kevin Warsh has publicly spoken only twice since President Trump appointed him as Fed Chair on 22 May. On the day of his appointment, Warsh's comments were largely ceremonial. This was in line with his avowed plan to limit Fed communications so that markets anticipate Fed policy by reading the tea leaves from data, instead of the Fed spoon-feeding markets. However, on his first outing after the Fed's policy meeting last week, he came across as an inflation buster.

Of course, he strenuously avoided giving 'forward guidance' that markets have come to expect from Fed Chairs over the past two decades. However, Warsh's singular focus on bringing down inflation back to the Fed's 2% target – something that, he reminded us, had eluded Fed policymakers for the past five years - has tightened financial conditions. US short-term bond yields have risen as Warsh's comments cemented expectations of a rate hike this year. This has jolted equity markets from a record high, while USD has broken out into a 13-month high.

Delivering less? We believe the Fed will be constrained in hiking rates this year due to the following: **a)** The sharp pullback in oil prices should help cool inflation (see chart). The latest surge in US headline inflation to a three-year high of 4.1% in May (based on the Fed's preferred personal consumption expenditure deflator) is backward looking. US headline inflation likely peaked in May and should fall in the coming quarters. The US 10-year bond yield has already dropped 30bps from May's peak as inflation expectations slumped with lower oil prices; **b)** the US job market is showing signs of softening again, with both initial and continuing jobless claims rebounding; **c)** Warsh believes AI will boost productivity, dampening wage growth, the primary driver of services inflation; and **d)** the November mid-term elections sets a high bar for a rate hike, especially with President Trump publicly calling for rate cuts at least twice since Warsh's appointment. Given the constraints against a rate hike, we see limited USD upside (especially with extremely stretched bullish USD positioning) and limited gold downside from here.

The risk scenario: As Warsh has signalled, incoming data is likely to guide Fed policy. The main risk to our core scenario of a Fed rate pause is an acceleration in US growth beyond the temporary summertime and World Cup-fuelled demand boost. This week's purchasing managers' indices showed US business sentiment continued to improve and outstrip those in Europe and Japan. A widening gap could continue to support the USD. Meanwhile, any signs of US growth and job creation accelerating – despite the negative impact of AI already seen on finance and IT sector jobs – would set the stage for a rate hike. Such a hike, while not our base case, alongside solid corporate earnings, should continue to support risk assets.

Broadening risk exposure: Near-term challenges remain, including a hawkish Fed, still-elevated investor positioning, and flood of IPOs. However, corporate earnings continue to be upgraded in our two preferred equity markets – the US and Asia ex-Japan (see chart). Meanwhile, the supply of IPOs relative to US market cap remains historically low despite the large dollar amounts being raised (see chart). We continue to diversify regional exposure beyond the US and into Asia ex-Japan. Within the tech sector, we go beyond semiconductors and into communications services in both the US and China. Apart from the tech sector, we go into healthcare in the US, financials and industrials in the Euro area, and financials in Japan.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as positive for risk assets in the near-term

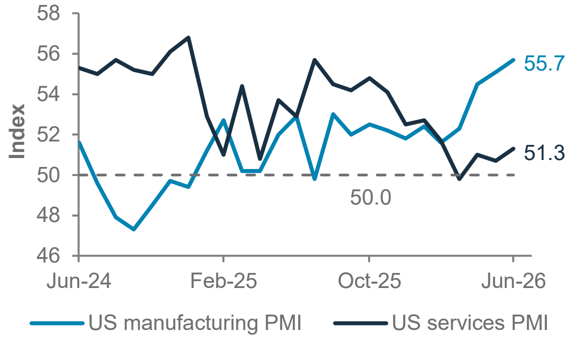
(+) factors: Robust US activity; easing geopolitical uncertainty

(-) factors: Softening US new home sales; hawkish BoJ

	Positive for risk assets	Negative for risk assets
Macro data	• US manufacturing and services PMI rose more than expected to 55.7 and 51.3 respectively • US durable goods orders fell less than expected by 4.5% m/m in May • US PCE inflation missed estimates m/m, but rose to a 3-year high in y/y terms • Euro area services PMI rose more than expected to 48.9 in June • Germany Ifo Business Climate index and current assessment beat expectations in June	• US new home sales fell more the expected in May • Euro area manufacturing PMI fell unexpectedly in June to 51.3
	Our assessment: Positive – Stronger-than-expected US activity vs. softening US new home sales	
Policy developments	• People's Bank of China committee member hinted at potential rate cut in 2026 • RBI Governor said a rate hike is premature, emphasizing the central bank's cautious, data-dependent approach	• BOJ Governor Ueda said Japan risks inflation above 2% and affirmed that further rate hike is needed
	Our assessment: Neutral – Potential PBoC rate cut vs. hawkish BoJ	
Other developments	• US and Iran agreed on a roadmap toward a final deal within 60 days	• US launched tariff probe into Germany over pharma pricing • The European Union and three of its member states joined a US-led coalition to reduce reliance on Chinese AI supply chains
	Our assessment: Positive – Easing US-Iran tensions	

US manufacturing PMI increased in June to its highest level since May 2022, while services PMI beat expectations and remained expansionary

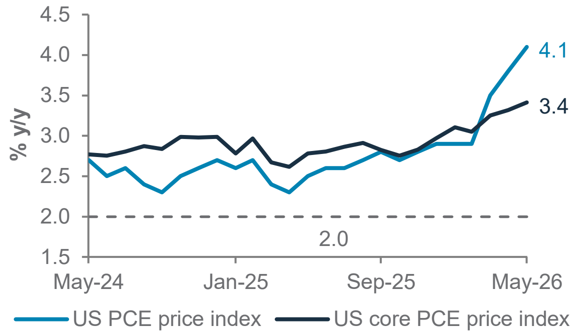
US manufacturing and services PMI



Source: Bloomberg, Standard Chartered

US PCE inflation rose to 4.1% in May as expected, marking the highest level since April 2023; we believe inflation peaked in May as oil prices fall

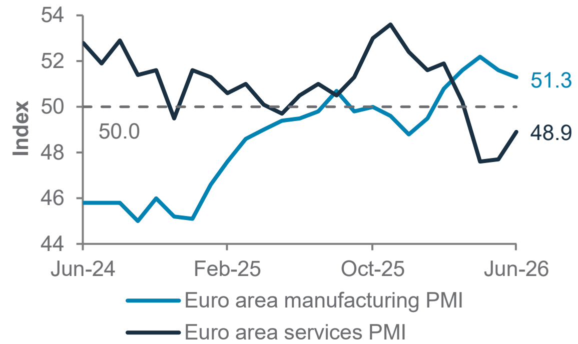
US headline and core PCE inflation



Source: Bloomberg, Standard Chartered

Euro area manufacturing PMI fell to a four-month low, but remained expansionary, while services PMI improved but remained in contraction

Euro area manufacturing and services PMI



Source: Bloomberg, Standard Chartered

Top client questions

Does the recent wave of large-scale debt financing by mega tech companies to fund AI capital expenditure (capex) challenge your positive stance on US equities?

Our view: We maintain our constructive stance on technology and see select buying opportunities in US communication services.

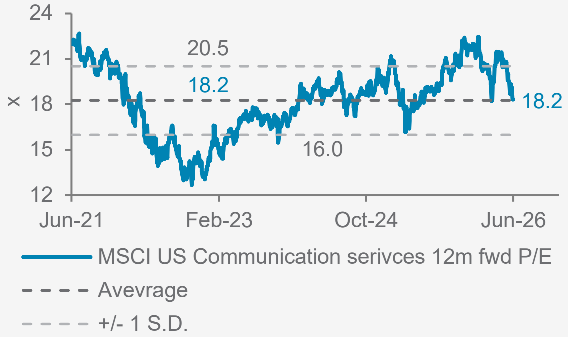
Rationale: Debt-financed AI capex has weighed on risk sentiment recently. Major cloud and AI platform companies' **free cash flow (FCF) fell by 20%** in 2025 and is expected to fall further in 2026 due to the significant rise in AI capex. However, large-cap technology companies' core fundamentals, including their balance sheets, remain healthy. Across big names, **debt-to-equity ratios** remain relatively modest at around 0.43x, as of the latest reported quarter. This explains why **markets remain receptive to hyperscalers' debt issuance** despite ongoing FCF pressures.

As AI monetisation scales, cash generation should recover. The direction of travel is encouraging; hyperscalers' projections show the gap between revenue and capex narrowing significantly over the next few years. We recently initiated an **Opportunistic idea in US communication services** – a sector dominated by internet platforms poised to benefit from rising AI monetisation. Meanwhile, valuations have become more attractive after the recent correction, providing an attractive entry point.

— **Jason Wong,** *Senior Equity Analyst*

US communication services valuations have become more attractive after the recent correction, providing an attractive entry point

12-month forward P/E of the MSCI US Communication Services Index



Source: FactSet, Standard Chartered

How much of the earnings strength within Asia ex-Japan (AxJ) is driven by the technology sector or specific markets?

Our view: We estimate that around 80% of AxJ's 2026 earnings growth is driven by the technology sector. We are Overweight AxJ equities as we remain constructive on its technology-driven growth and see it broadening in 2027.

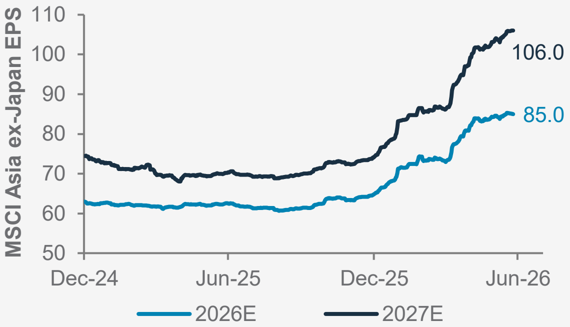
Rationale: FactSet consensus points to MSCI AxJ earnings growing around 65% in 2026, the highest among major regions globally. The technology sector drives an estimated 80% of this growth. Looking through a regional lens, **South Korea** and **Taiwan** are projected to contribute around 65% and 15%, respectively, to AxJ's earnings growth. This concentration of growth reflects the **semiconductor cycle's strength**, supported by robust demand for memory chips, AI-related components and supply-chain beneficiaries.

We remain **constructive on AxJ**, although the pace of incremental earnings upgrades could moderate due to higher-base effects. Further upside depends on factors such as AI capex cycle resilience, memory pricing and AI adoption rates. We expect **earnings growth to broaden beyond technology** as a reopening of the Strait of Hormuz in our core scenarios improves the growth outlook for oil-importing nations within the AxJ region.

— **Fook Hien Yap,** *Senior Investment Strategist*

AxJ earnings estimates have been revised sharply higher since the start of 2026, driven by the technology sector and the South Korea/Taiwan markets

Evolution of 2026 and 2027 EPS for MSCI AxJ Index since Dec-2024



Source: FactSet, Standard Chartered

Top client questions (cont'd)

Are there any re-rating and/or earnings growth catalysts for China equities, especially the Hang Seng Tech Index (HSTECH)?

Our view: We are Overweight China within AxJ on policy support, earnings recovery and potential valuation re-rating, with HSTECH offering opportunistic upside from these catalysts.

Rationale: China equities, particularly HSTECH, faced pressure in H1 2026 due to regulation headwinds and excess supply. With valuations now near oversold levels, **a near-term rebound is likely**, supported by three key H2 re-rating catalysts:

1. **AI demand:** China remains a critical backbone of the global AI hardware and digital infrastructure supply chain. The country's leadership in segments such as optical modules helps it benefit from rising global AI capex, driving earnings growth. Meanwhile, the recent inclusion of AI-native companies has further enhanced HSTECH's growth profile and thematic appeal.

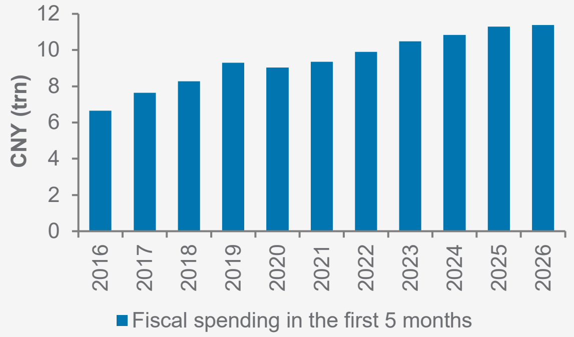
2. **Policy support:** Fiscal spending rose to CNY 11.39trn in the first five months of 2026 (+0.8% y/y); further easing in H2 should stimulate domestic growth and support earnings momentum. This, alongside Beijing's target to raise the digital economy's core industry share to 12.5% of GDP by 2030 under the 15th Five-year Plan, underpins a sustained, policy-driven AI growth cycle.

3. **Macro backdrop:** Easing overcapacity should improve pricing power, while a moderation in expectations of Fed tightening, alongside geopolitical easing and market structure improvements, provide scope for a valuation re-rating.

— **Michelle Kam, CFA**, *Investment Strategist*

Expected fiscal easing in H2 2026 likely to support China earnings momentum

China's fiscal spending trends in the first five months of each year



Source: Bloomberg, Standard Chartered

Why does the Japanese yen (JPY) remain weak even after the Bank of Japan (BoJ) rate hike?

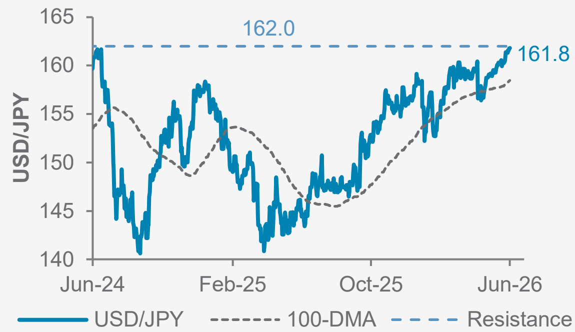
Our view: A still-wide US-Japan yield gap is putting upward pressure on USD/JPY. However, we expect limited upside from here amid intervention risk; immediate resistance at 162.

Rationale: Despite the BoJ raising its policy rate to 1.0% – its highest level since 1995 – the JPY remains soft because underlying structural forces outweigh this incremental tightening. The **US-Japan interest-rate differential remains wide**, sustaining the carry trade and keeping institutional demand for JPY-funded positions intact. Furthermore, **markets view the BoJ's 25bps pace as too gradual to close that gap meaningfully**. However, the pair is deeply overbought. We see a growing intervention risk in the very near term, with resistance at 162. Any technical correction is likely to drag the pair back towards 156 (the 200-day moving average).

— **Iris Yuen**, *Investment Strategist*

USD/JPY upside risk is likely limited

USD/JPY and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Do you still prefer AUD bonds following the latest currency weakness? How about Gilts after the latest GBP pullback?

Our view: We remain constructively bullish on the Australian dollar (AUD) over the medium term while maintaining a modestly bearish view on the Pound Sterling (GBP).

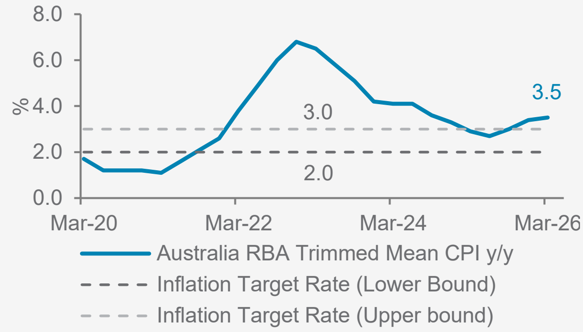
Rationale: Australia's May consumer price index (CPI) data was mixed. **Headline inflation eased**, falling 0.7% m/m after the government cut automotive excise taxes by 50%. However, **core inflation picked up** 0.4% m/m, reinforcing a relatively **hawkish RBA** stance. We believe the AUD should be supported by resilient domestic growth, firmer core inflation and stabilising China demand, which should underpin the currency over the medium term. For AUD bonds, we retain our **tactically bullish view** with FX unhedged despite falling bond yields over the last few weeks. While the room for AUD yields to fall further has narrowed, we believe **absolute yields remain attractive** to hold at current levels.

In contrast, the **GBP is expected to face headwinds** from softer UK growth, political uncertainty and a gradual BoE easing cycle, leaving the currency biased towards modest depreciation. We are **cautious about a near-term rebound in Gilt yields**. While disinflationary relief and a potential dovish pivot by the Bank of England (BoE) are positive factors (driving lower yields), we believe political instability and fiscal uncertainties are headwinds.

— **Iris Yuen**, *Investment Strategist*
— **Cedric Lam**, *Senior Investment Strategist*

Australia inflation remains higher than the RBA's inflation target range

Australia inflation and RBA inflation target range



Source: Standard Chartered

UK growth losing momentum

UK GDP y/y (%)

Source: Standard Chartered

What are the implications of lower oil prices for the monetary policy outlook of Asian central banks?

Our view: Lower oil prices offer disinflationary relief for monetary policies, but unevenly across Asia. Regional risk assets and local-currency (LCY) bonds are supported.

Rationale: Lower oil prices offer **disinflationary relief** for Asian central banks because most of these economies are net energy importers. However, the **relief will be uneven** across Asia, and we expect **regional monetary policies to remain divergent**. In heavy energy import-reliant economies, such as India, Thailand and the Philippines, easing energy inflation reduces balance-of-payments pressures, allowing their central banks to focus on growth. Conversely, South Korea and Singapore face demand-side inflation fuelled by the **AI boom**, suggesting a longer rate hold. We view lower energy prices as supportive of Asian risk assets and LCY bonds.

A growing reflation tail risk for Asia is the potential formation of a '**Super El Niño**,' which has an estimated 63% chance of occurring in Q4. Extreme heat and droughts could disrupt agricultural output, while heavier use of air-cooling systems could elevate energy prices.

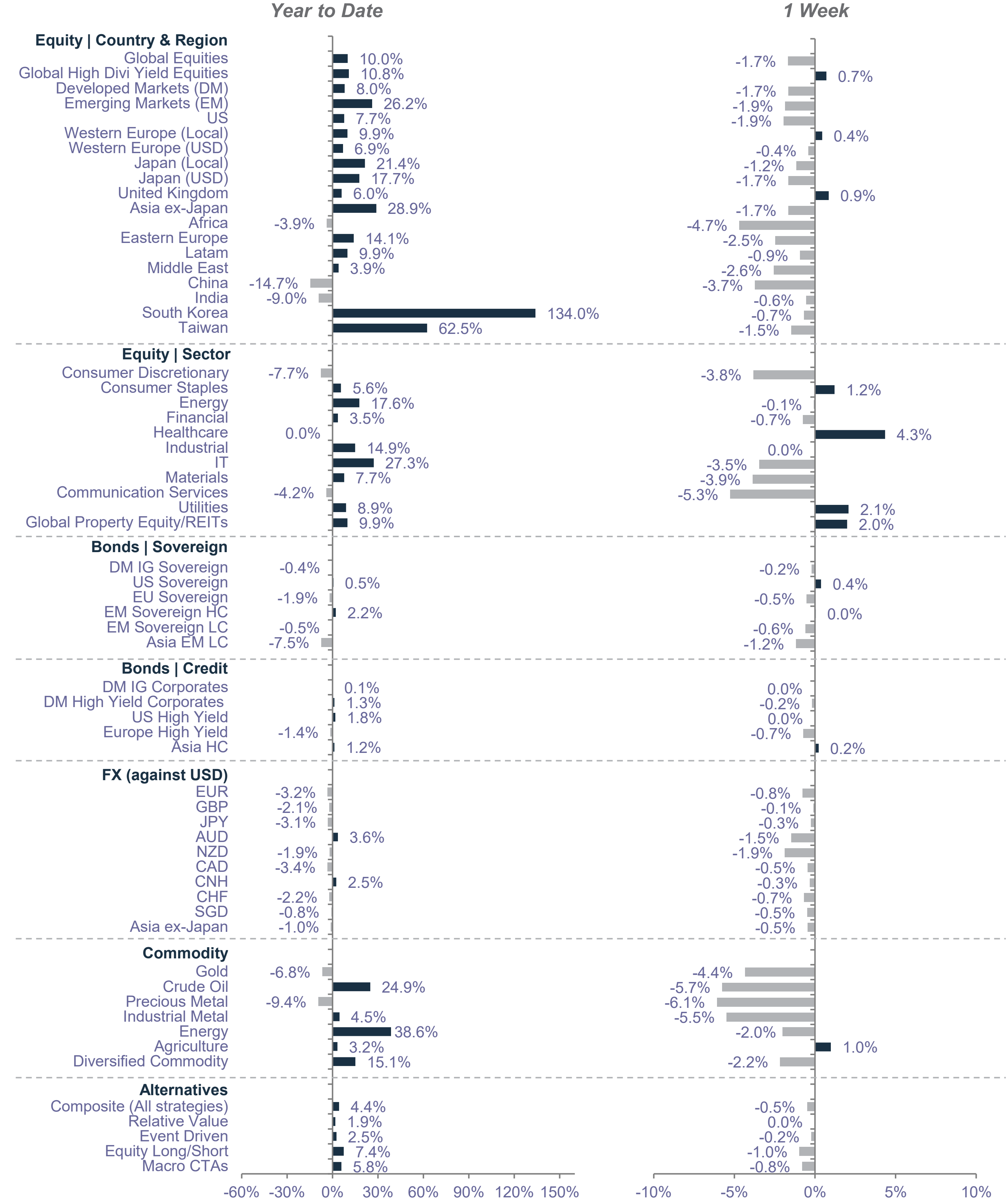
— **Cedric Lam**, *Senior Investment Strategist*

Asia currencies and bonds are expected to be supported by lower oil prices

Bloomberg EM Asia local currency bond index and Asian currencies index

Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 25 June 2026; 1-week period: 18 June 2026 to 25 June 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
		China Technology	▲
Bonds	▼		
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	▲

Source: Standard Chartered Global Investment Committee
Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Economic Confidence	Jun	–	93.5
	EUR	Industrial Confidence	Jun	–	-8.0
	EUR	Services Confidence	Jun	–	2.2
TUE	CNH	Manufacturing PMI	Jun	50.1	50.0
	CNH	Non-manufacturing PMI	Jun	50.0	50.1
	AUD	RBA Minutes of June Policy Meeting	–	–	–
	USD	Conf. Board Consumer Confidence	Jun	94.2	93.1
	USD	JOLTS Job Openings	May	7360k	7618k
WED	EUR	CPI y/y	Jun P	–	3.2%
	EUR	CPI Core y/y	Jun P	–	2.6%
	USD	ADP Employment Change	Jun	110k	122k
	USD	ISM Manufacturing	Jun	53.8	54.0
	USD	ISM New Orders	Jun	–	56.8
THU	EUR	Unemployment Rate	May	–	6.3%
	USD	Change in Nonfarm Payrolls	Jun	130k	172k
	USD	Average Hourly Earnings y/y	Jun	3.5%	3.4%
	USD	Unemployment Rate	Jun	4.3%	4.3%
FRI/SAT					

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,573

Technical indicators for key markets as of 25 Jun close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,357	7,190	7,573	20.0	1.2
STOXX 50	6,268	6,047	6,412	15.3	3.1
FTSE 100	10,530	10,247	10,694	12.7	3.5
TOPIX	4,016	3,820	4,158	17.0	2.3
Shanghai Comp	4,120	3,974	4,221	13.9	3.0
Hang Seng	23,077	22,022	25,088	9.9	3.7
Nifty 50	24,056	23,330	24,522	18.4	1.8
MSCI Asia ex-Japan	1,168	1,100	1,220	12.1	2.1
MSCI EM	1,756	1,661	1,830	11.5	2.4
Crude oil (WTI)	71.9	61.5	89.6	na	na
Gold	4,027	3,792	4,428	na	na
UST 10Y Yield	4.39	4.31	4.53	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 25 Jun close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.47
Global Equities	◐	↓	1.31
Gold	●	↓	1.53
Equity			
MSCI US	◐	→	1.31
MSCI Europe	◐	↓	1.40
MSCI AC AXJ	◐	↓	1.34
Fixed Income			
DM Corp Bond	◐	↓	1.46
DM High Yield	◐	↓	1.38
EM USD	◐	↓	1.42
EM Local	●	→	1.64
Asia USD	●	↓	1.51
Currencies			
EUR/USD	●	→	1.54

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**
Legend: ● High | ◐ Low to mid | ○ Critically low

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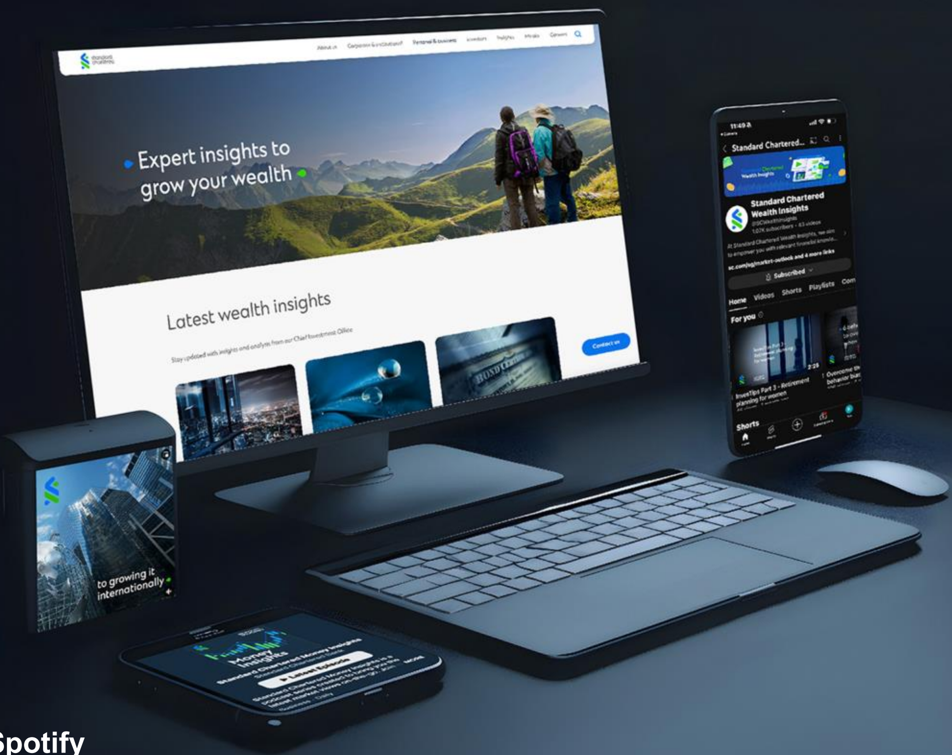

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WS Global CIO Office
12 June 2026

Weekly Market View

Investor froth scaled back, but not eliminated

→ Last week, we flagged extremely stretched investor positioning, following a two-month rally in AI-related sectors, as a near-term risk for equities. Hawkish Fed rate expectations after another solid US jobs report and renewed Middle East clashes triggered a pullback in risk assets this week.

→ We remain cautious near term as bullish US equity positioning remains elevated, despite the recent reversal.

→ We would continue to avoid concentration in our portfolios, preferring the equal-weighted Developed Market equity index in the near-term and diversification in the tech sector across semiconductors, hardware, internet, and software.

→ Meanwhile, we are pushing back our Fed rate cut expectations to next year and tactically shortening USD bond duration to 3-5 years.

→ We also believe the ongoing pullback in gold is an opportunity for long-term investors to add exposure.

Tactically bullish on Hang Seng tech index: policy tailwinds

Shortening USD bond maturities: expect steeper yield curve

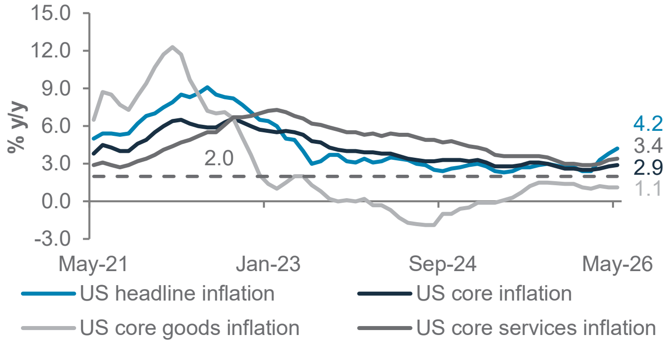
Opportunity to reduce USD/CHF exposure: renewed safe-haven demand for CHF

Important disclosures can be found in the Disclosures Appendix.

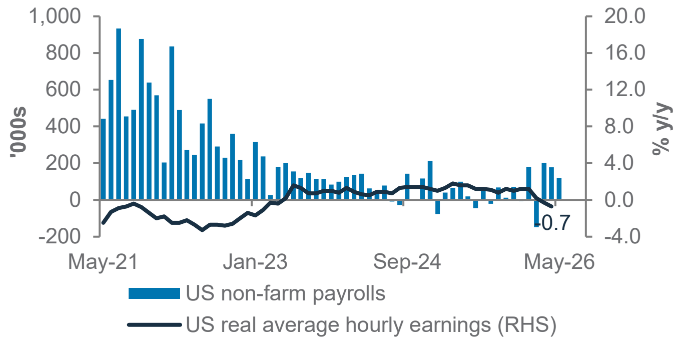
Charts of the week: Hot headline, cool core

Surging energy costs were responsible for higher US inflation in May, but underlying inflation and wages remain subdued

US headline, core, core goods and core services inflation



US non-farm payrolls, real average weekly earnings growth



Source: Bloomberg, Standard Chartered

Editorial

Investor froth scaled back, not eliminated

Strategy summary: Last week, we flagged extremely stretched investor positioning, following a two-month rally in AI-related sectors, as a near-term risk for equities. Hawkish Fed rate expectations after another solid US jobs report and renewed Middle East clashes triggered a pullback in risk assets. We remain cautious near term as bullish US equity positioning remains elevated, despite the recent reversal.

We would continue to avoid concentration in our portfolios, preferring the equal-weighted Developed Market equity index in the near-term and diversification in the tech sector across semiconductors, hardware, internet, and software. Meanwhile, we are pushing back our Fed rate cut expectations to next year and tactically shortening USD bond duration to 3-5 years. We also believe the ongoing pullback in gold is an opportunity for long-term investors to add exposure (see page 7).

Strong US jobs data, resumption of Middle East conflict trigger market pullback. Last week, we flagged in this column the following risk: "*Proposed new US tariff threats, major IPOs and investor froth in pockets of the market add to Mideast tensions, clouding the near-term outlook… Extremely stretched investor positioning in US equities raises the risk of a pullback. Besides the outcome of US-Iran talks, US payrolls and inflation data are next catalysts. Another month of strong payrolls and acceleration in inflation would likely shift the stance of more Fed policymakers from broadly neutral to hawkish.*" As it turned out, a hawkish repricing of Fed rate expectations following a solid US payrolls report and renewed Middle East hostilities acted as catalysts for an equity market pullback.

Investor froth scaled back, but not eliminated. Even after this week's pullback, US equity investor positioning remains around 1.13 standard deviation above its long-term average, from ~2.0 a week ago. History shows the S&P500 index has typically bottomed when positioning has fallen back to -0.5-0.5. This implies we are around halfway through the positioning unwind. Our 'fear and greed' indicator has normalised after surging close to 'extreme greed' levels in May, but the put-call ratio component remains in 'greed' territory. We would continue to reduce concentration risks in equities and take advantage of elevated volatility through structured strategies.

Tactically shortening USD bond duration to 3-5 years. Middle East uncertainties, despite President Trump's latest comment signalling an imminent deal, could delay the normalisation of shipping through the Hormuz strait during peak summer demand season. This would leave oil prices potentially elevated for longer. Meanwhile, the US job market has picked up over the past three months. This evolving backdrop is likely to embolden the hawkish members of the Fed to convince new Fed Chair Warsh to drop references to any rate cuts from its post-meeting statement next week. We now expect the Fed to hold rates for the rest of the year. Given this, we would tactically shorten bond duration, focussing on 3-5-year maturities.

Pushing back our Fed rate cut expectations to next year. The US inflation report for May showed that gasoline prices primarily drove the latest acceleration in headline inflation to a three-year high. However, there has been limited passthrough to underlying inflation so far. Meanwhile, US wage pressures continue to ease (see chart above). This leads us to believe that, if oil remains below USD 120/bbl, the oil price-driven headline inflation is likely to peak in Q2 this year, before subsiding gradually over the next 12 months. Such a trajectory should allow the Fed to cut rates by the middle of next year, especially if the ongoing oil shock hurts US growth with a lag.

ECB one and done? The ECB unanimously raised its deposit rate by 25bps to 2.25%, a widely anticipated move. President Lagarde highlighted growing concerns over energy-driven inflation but did not commit to future hikes, stating decisions will be made on a meeting-by-meeting basis. The ECB raised its inflation forecasts, with the 2% target not expected until 2028, but cut its growth estimates for 2026-27. As economic data weakens and wage growth lags behind inflation, we expect the ECB to pause. Our base case expects the June move to be the final hike of the cycle, barring major shocks in energy markets.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near term

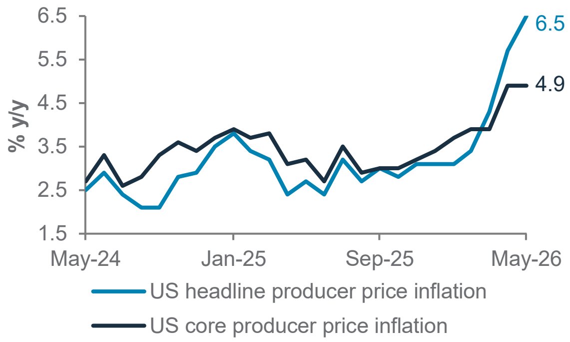
(+) factors: Subdued US core inflation, wages; strong China exports

(-) factors: Mostly hawkish central banks, geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US core consumer prices rose 0.2% m/m, and core producer prices rose 4.9% y/y, both below estimates • US average hourly earnings growth continued to slow, indicating subdued wage pressures • Euro area Sentix investor confidence came in above estimates in June • China exports grew 19.4% y/y in May, beat estimates • China consumer prices grew 1.2% y/y in May, below expectations	• US non-farm payrolls rose more than expected in May, fuelling Fed rate hike expectations • US NFIB small business optimism index fell unexpectedly to 95.3 in May • US headline consumer prices grew 4.2% in May, the highest since April 2023, in line with expectations • US producer prices rose more than expected by 6.5% in May
	Our assessment: Neutral – Strong US payrolls fuelling rate hike expectations vs. softer-than-expected core inflation	
Policy developments	• ECB delivered a widely expected 25bps rate hike; President Lagarde declined to commit on the prospect of further hikes, saying decisions will be made meeting-by-meeting	• Bank of Canada held rate unchanged at 2.25% as expected, citing rising inflation is a dilemma for monetary policy • RBI kept policy rate unchanged at 5.25%, as expected; it warned future hikes are on the table
	Our assessment: Negative – Mostly hawkish central banks	
Other developments	• President Trump said Iran deal is close and cancelled new strikes against Iran after second day of US strikes	• The US Pentagon has added additional Chinese firms as military-linked • Trump signalled no intention to renew USMCA trade deal
	Our assessment: Neutral – Elevated geopolitical tensions	

US headline producer prices rose by 6.5% y/y in May, marking the highest level since November 2022, while core producer price inflation came in below expectations

US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

Euro area Sentix investor confidence beat expectations in June, though pessimism persists

Euro area Sentix investor confidence index

Source: Bloomberg, Standard Chartered

China exports sustained solid growth in May, despite trade uncertainties

China exports and imports growth

Source: Bloomberg, Standard Chartered

Top client questions

What are the implications of the latest US non-farm payrolls and inflation data for the Fed's rate path? Which part of the US bond yield curve should investors position in?

Our view: Elevated inflation should keep the Fed on hold through 2026. A pushback on rate hikes could drive bond yield curve steepening; hence, we are shortening our USD bond duration to 3-5 years.

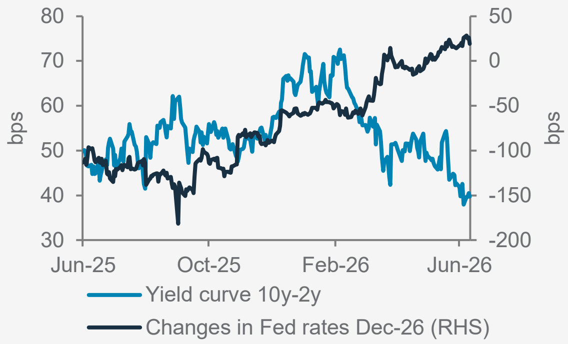
Rationale: While May headline US consumer price index (CPI) inflation remained elevated, core CPI came in below expectations, alleviating energy cost pass-through fears. Although the core personal consumption expenditures (PCE) inflation gauge remains above the Fed's 2% target, **broader inflationary pressures are easing**, with energy inflation likely peaking in Q2 2026 alongside slowing wage growth and AI-driven layoffs. Softer data should provide Fed Chair Warsh room to **hold rates steady** at the 16-17 June Federal Open Market Committee (FOMC) meeting.

While we anticipate a hawkish post-meeting statement to manage market expectations, the bar for tightening remains high. Contrary to current market pricing of one additional hike, **we expect the Fed to remain on hold through year-end 2026**. We expect the US bond yield curve to steepen as markets pause or pare back rate hike expectations, while long-term fiscal pressures and inflation concerns keep longer-term yields elevated. Given this combination, we prefer **to shorten our USD bond duration to 3-5-year maturities** to capture income carry without overextending interest-rate risk.

— **Cedric Lam,** *Senior Investment Strategist*

US government bond yield curve has flattened since March amid surging rate-hike expectations. A reversal towards steepening is possible if anticipated rate hikes are pushed back

US 10Y and 2Y government bond yield differentials, changes in Fed funds future rates for December 2026



Source: Bloomberg, Standard Chartered

What is your outlook for EUR/USD after the ECB's 11 June policy meeting?

Our view: We expect EUR/USD to trade within the 1.1410-1.1640 range, but with a bearish bias in the near term and risks skewed towards further downside.

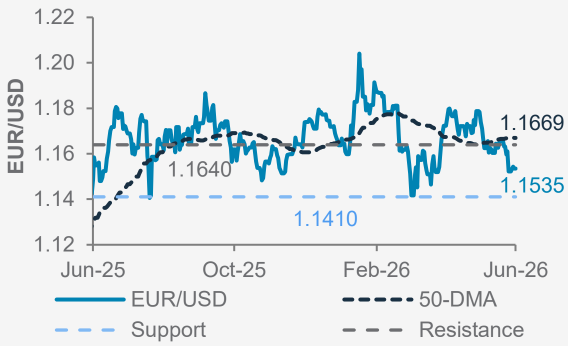
Rationale: The Euro area is experiencing a **'stagflationary' risk** – **growth is below expectations**, especially in Germany and France, while **inflation is above target** and surprising to the upside. The Middle East conflict-driven energy shock is the primary driver.

Despite the weakening macro picture, markets appear overly **hawkish** on the ECB's policy path, currently pricing in two more rate hikes by 2027. We view this hawkish positioning as overstretched. ECB President Lagarde warned **inflation triggered by the Middle East conflict is widening beyond just energy**. However, she refused to commit to further hikes. EUR/USD's near-term ranges are expected to hold as markets digest the ECB rate decision.

— **Iris Yuen**, *Investment Strategist*

EUR/USD's near-term ranges are expected to hold

EUR/USD and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What do you think of China's plan to increase investment in data centres over the next five years?

Our view: We maintain the Hang Seng Tech Index (HSTECH) as an Opportunistic idea, supported by policy tailwinds.

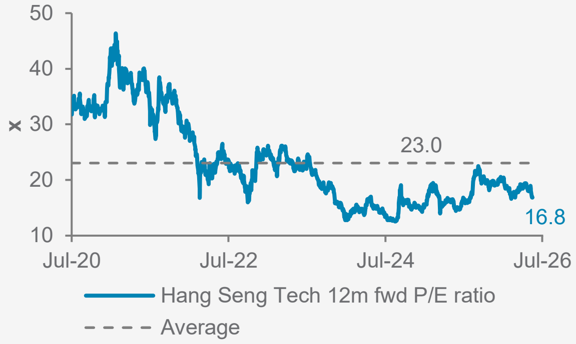
Rationale: Media reports suggest China plans **c.CNY 2trn (c.USD 295bn)** of investment over the next five years in a nationwide data centre buildout, with key agencies reportedly drafting a blueprint for a network of interconnected computing hubs. The initiative should act as a **key catalyst** for the technology and communication services sectors. State-owned telecom operators are likely to anchor the buildout. A reported **80% domestic technology sourcing requirement** positions local semiconductor and hardware providers as primary beneficiaries, reinforcing China's technological self-sufficiency push amid ongoing export restrictions. The buildout has positive spillovers for **utilities**, given China's relatively abundant, stable electricity supply, providing it a structural advantage vs. global peers facing high energy costs and supply risks.

Overall, the initiative aligns with **China's tech sovereignty agenda** under the 15th Five-year Plan. While the trade has faced headwinds recently, driven by intensifying competition and a valuation reset after an outsized prior rally, **we continue to favour HSTECH**, given its direct leverage to policy-backed infrastructure spending and the structural re-rating potential of domestically oriented tech players.

— **Michelle Kam, CFA,** *Investment Strategist*

Hang Seng Tech Index has room for further valuation re-rating

12-month forward P/E of the Hang Seng Tech Index



Source: Bloomberg, Standard Chartered

USD/CHF has recovered towards 0.80. Do you see further upside?

Our view: USD/CHF's recent recovery looks more tactical than structural. We see the pair remaining rangebound within 0.7860-0.8090 over the next few weeks, with risks skewed to the downside, providing a timely opportunity to reduce USD/CHF exposure.

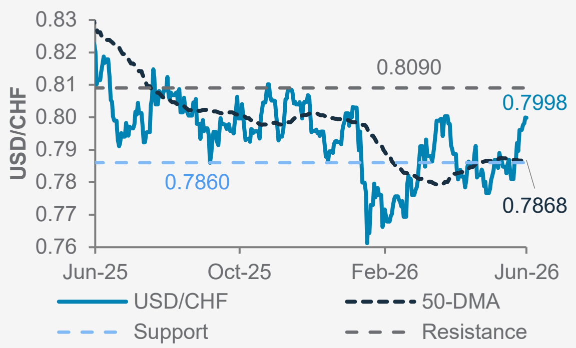
Rationale: The 'USD resilience' narrative continues to lend **near-term support to USD/CHF** amid sticky US inflation and resilient labour data, which have forced markets to pare back aggressive Fed rate-cut expectations. This has kept **front-end USD rates firm** and the **USD Index (DXY) largely hovering around 100**. Meanwhile, the Swiss National Bank's (SNB's) position at the zero lower bound anchors a floor under the rate differential.

However, the **downside drivers look more durable**. Persistent geopolitical risks and Switzerland's structural current account surplus underpin **safe-haven CHF demand**. The SNB's reaction function remains asymmetric, capping sustained USD/CHF rallies.

— **Iris Yuen**, *Investment Strategist*

USD/CHF upside is likely rangebound between 0.7860 and 0.8090

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

India's year-to-date (YTD) equity outflows have exceeded last year's total. Can the Reserve Bank of India's (RBI's) measures to attract foreign capital stem this trend? What are the key investment opportunities?

Our view: The RBI's measures signal stability for USD/INR. Foreign portfolio debt flows should increase, but the direct impact on foreign equity inflows is likely to be limited. We expect an improving earnings outlook to support Indian equities and prefer large-cap Indian equities for a greater margin of safety.

Rationale: Several consequential measures are set to drive **foreign portfolio investor (FPI) debt flows**. These include the removal/exemption of long-term capital gains tax, the elimination of withholding tax on interest income from investment in government securities and the addition of more tenors under the Fully Accessible Route (FAR). These policy shifts are also anticipated to drive the **inclusion of Indian sovereign bonds in other indices**, such as the Bloomberg Aggregate index.

The RBI's recent measures should help **long-end government bond demand**, given increased demand, easing inflation expectations and balance of payments pressures. Liquidity should bring short-end down, driving a **near-term yield curve steepening**.

On the equities front, non-resident Indians, persons of Indian origin and overseas citizens of India are now allowed to invest directly in equity markets with higher limits. This will allow **more overseas Indian money to flow into Indian equities**. However, the USD inflows anticipated through this measure are much lower than the inflows expected through measures around foreign currency non-resident deposit support, external commercial borrowings support for public sector undertakings, tax incentives for FPIs on debt investments and FAR expansion. This is a **positive measure for boosting foreign investor confidence** and is expected to improve incremental participation gradually. For equities, valuations and earnings growth are the key drivers. The next few quarters' earnings re-acceleration or downward revision will guide equity flows more.

The **duration of the Middle East conflict** is a key factor for earnings growth. If **AI fatigue** plays out, India would enjoy an added advantage alongside an attractive Indian rupee valuation. Data suggests that FPIs have been selectively increasing exposure towards sectors such as **industrials, metals** and **mining**. While FPI ownership has fallen since 2022, the number of stocks with greater than 1% FPI holding has surged during the same period, indicating **broad-based foreign ownership** following segments of earnings growth.

— **Shaily Gang**, *Chief Investment Strategist, India*

Foreign portfolio investment share of equity sectors in India

Foreign portfolios have been rotating towards the industrials and metals and mining sectors in India

	Portfolio Share		
Sectors	**Apr-26**	**Apr-25**	**Change**
Financials	30.1%	31.9%	-1.8%
Oil & Gas	7.7%	7.3%	0.4%
Industrials	7.5%	5.0%	2.5%
Auto & Ancillary	7.4%	6.8%	0.6%
Healthcare	6.8%	6.8%	0.0%
Service	5.8%	6.2%	-0.4%
IT	5.7%	8.2%	-2.5%
Telecom & Media	5.4%	5.0%	0.4%
FMCG	4.8%	5.6%	-0.8%
Utilities	4.3%	3.7%	0.6%
Metals & Mining	4.0%	2.7%	1.3%
Construction Material	3.4%	3.3%	0.1%
Durables	2.6%	2.8%	-0.2%
Agriculture & Chemicals	1.8%	1.8%	0.0%
Realty	1.6%	2.0%	-0.4%
Others	1.0%	0.8%	0.2%

Source: NSDL, MACM Research

Top client questions (cont'd)

Gold has broken below its 200-day moving average (DMA). Does this weaken the structural investment case for gold?

Our view: We view the recent weakness as an opportunity rather than a turning point, as the structural case for gold – underpinned by sustained central bank buying – remains intact. We would add on further weakness, while remaining constructive on gold over the medium term.

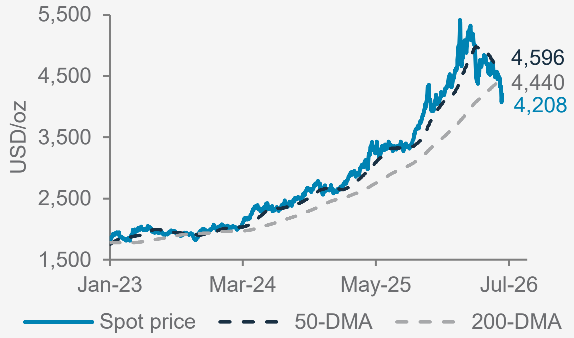
Rationale: Gold's break below its 200DMA – a key technical support level that had held since October 2023 – weakens near-term momentum. The next major support zone lies between **USD 3,950 and USD 4,100/oz,** which could provide a base for price stabilisation. The pullback reflects **renewed sensitivity to traditional macro drivers**, particularly US real yields and the USD. Gold's three-month correlation with ten-year real yields has strengthened to -37% from near zero, while its correlation with the DXY has deepened to -57% from -19%, suggesting rates and FX are once again driving price action. **Stronger-than-expected US jobs data** lifted US bond yields, strengthening the USD and scaling back Fed easing hopes.

Near-term headwinds may persist as higher real yields, a firmer USD and seasonally softer physical demand weigh on sentiment. However, our **medium-term view remains constructive**. Central banks remain net buyers, while current **fiscal and geopolitical risks** should underpin portfolio diversification demand. We, therefore, view further weakness as an opportunity to accumulate positions, rather than a signal that the longer-term investment case has deteriorated.

— **Anthony Naab, CFA**, *Investment Strategist*

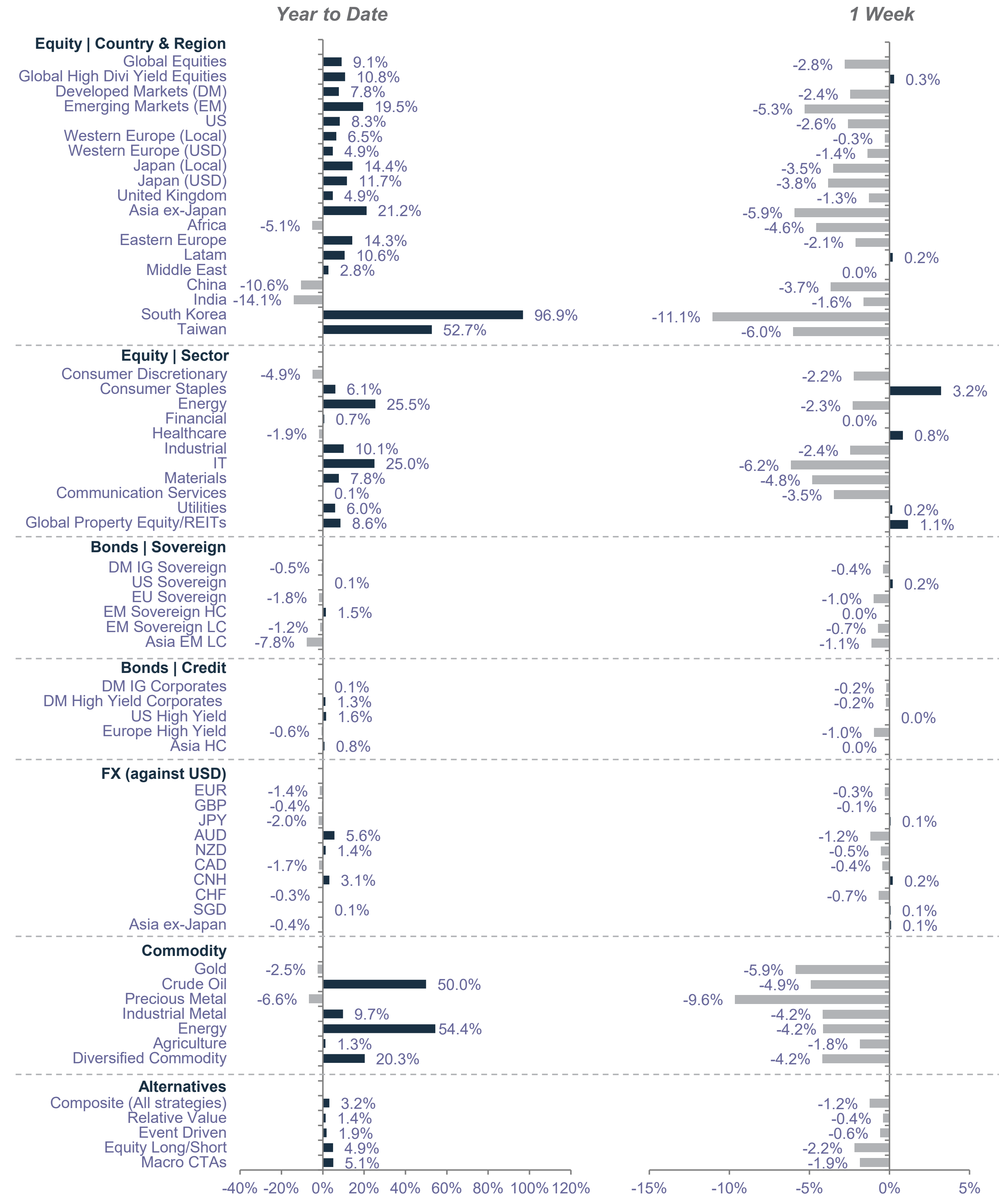
Gold's technical backdrop has softened, but longer-term support level remains in focus

Spot gold and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 11 June 2026; 1-week period: 4 June 2026 to 11 June 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	◆	Europe ex-UK Financials	▲
Japan	◆	China Communication	▲
Other EM	◆	China Technology	▲
		China Healthcare	▲
Bonds	◆		
		Govt	
Credit		Govt EM Local	▲
Asia USD	◆	Govt DM IG	▼
Corp DM HY	◆		
Govt EM USD	▲	**Alternatives**	◆
Corp DM IG	◆		
		Gold	▲

Source: Standard Chartered Global Investment Committee
Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON					
TUE	JPY	BOJ Target Rate	16-Jun	1.0%	0.8%
	CNH	Retail Sales y/y	May	0.0%	0.2%
	CNH	Industrial Production y/y	May	4.3%	4.1%
	CNH	Fixed Assets Ex Rural YTD y/y	May	-2.3%	-1.6%
	CNH	Property Investment YTD y/y	May	-14.0%	-13.7%
	AUD	RBA Cash Rate Target	16-Jun	4.4%	4.4%
	EUR	ZEW Survey Expectations	Jun	–	-10.2
	EUR	ZEW Survey Current Situation	Jun	–	-77.8
WED	USD	Retail Sales Control Group	May	–	0.5%
THU	USD	FOMC Rate Decision (Upper Bound)	17-Jun	3.8%	3.8%
	GBP	Bank of England Bank Rate	18-Jun	–	3.8%
	USD	Initial Jobless Claims	13-Jun	–	–
	USD	Philadelphia Fed Business Outlook	Jun	–	-0.4
	USD	Continuing Claims	6-Jun	–	–
	USD	Leading Index	May	–	0.1%
FRI/SAT	JPY	BOJ Minutes of April Meeting	19-Jun	–	–

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,598

Technical indicators for key markets as of 11 Jun close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,394	7,214	7,598	20.4	1.2
STOXX 50	6,057	5,830	6,217	15.1	3.2
FTSE 100	10,304	10,102	10,531	12.6	3.6
TOPIX	3,830	3,725	3,976	16.5	2.4
Shanghai Comp	3,987	3,857	4,188	13.4	3.0
Hang Seng	24,249	23,218	26,063	10.4	3.5
Nifty 50	23,162	22,791	23,811	17.8	1.9
MSCI Asia ex-Japan	1,099	1,047	1,175	11.9	2.1
MSCI EM	1,665	1,592	1,768	11.3	2.5
Crude oil (WTI)	87.7	79.1	102.9	na	na
Gold	4,212	3,900	4,649	na	na
UST 10Y Yield	4.46	4.35	4.63	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 11 Jun close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.79
Global Equities	◐	↓	1.40
Gold	◐	↓	1.35
Equity			
MSCI US	◐	↓	1.37
MSCI Europe	●	↓	1.62
MSCI AC AXJ	◐	↓	1.49
Fixed Income			
DM Corp Bond	●	↓	1.65
DM High Yield	●	↓	1.54
EM USD	●	↓	1.66
EM Local	●	↑	1.93
Asia USD	●	↓	1.83
Currencies			
EUR/USD	●	↑	1.77

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**
Legend: ● High | ◐ Low to mid | ○ Critically low

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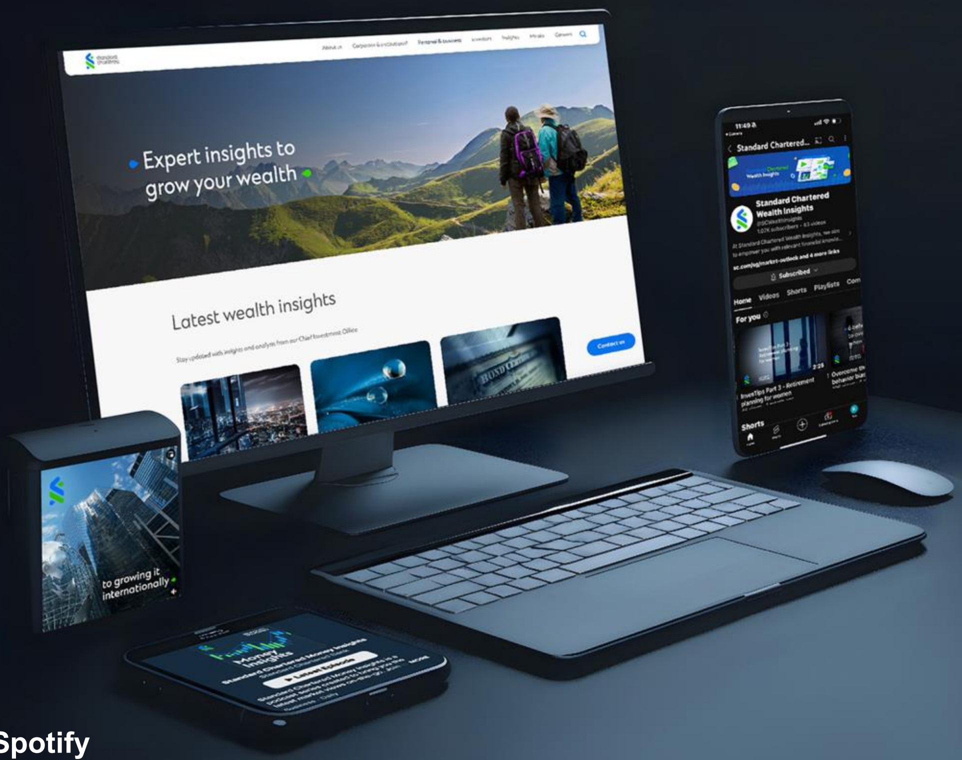

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WS Global CIO Office
5 June 2026

Weekly Market View

Resilient fundamentals meet investor froth

→ US forward earnings estimates have been upgraded across sectors in Q2, providing a strong fundamental backdrop to the equity rally.

→ However, proposed new US tariff threats, major IPOs and investor froth in pockets of the market add to Mideast tensions, clouding the near-term outlook.

→ Against this backdrop, we stay diversified as extremely stretched investor positioning in US equities raises the risk of a short-term pullback.

→ Besides the outcome of US-Iran talks, US payrolls and inflation data are next catalysts. Another month of strong payrolls and acceleration in inflation would likely shift the stance of more Fed policymakers from broadly neutral to hawkish.

→ The ECB is expected to deliver a 25bps “insurance” hike next week. However, weaker growth indicators since the start of the East conflict argues against follow-up rate hikes.

Within tech, rotate from semiconductors to internet on stretched positioning

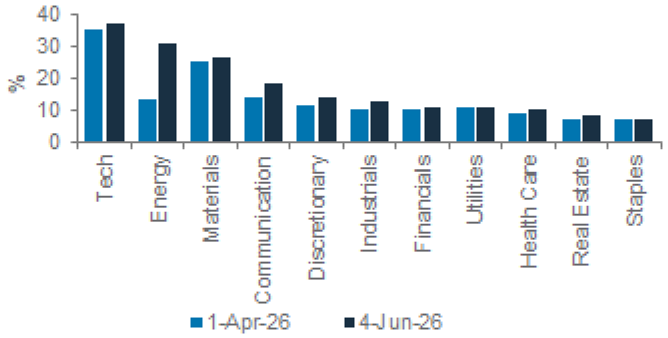
Rangebound EUR/USD: ECB to deliver one insurance hike, then pause

Accumulating gold on dips: continued central bank reserve diversification

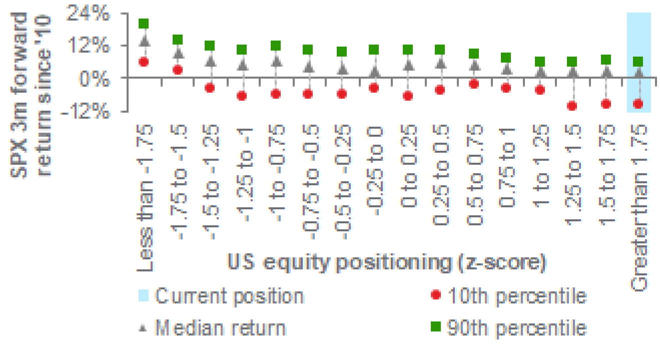
Charts of the week: Strong earnings vs. stretched positioning

Earnings upgrades support the equity rally over the medium term, but stretched investor positioning raises near-term risk

US consensus 12m forward earnings estimates across sectors



US equity positioning and historical S&P500 index returns*



Source: Bloomberg, Standard Chartered, Vanda Research; *highlighted segment reflects current US combined equity market positioning

Editorial

Resilient fundamentals meet investor froth

Strategy summary: US forward earnings estimates have been upgraded across sectors in Q2 providing a strong fundamental backdrop to the equity rally. However, proposed new US tariff threats, major IPOs and investor froth in pockets of the market add to Mideast tensions, clouding the near-term outlook.

Against this backdrop, we stay diversified as extremely stretched investor positioning in US equities raises the risk of a pullback. Besides the outcome of US-Iran talks, US payrolls and inflation data are next catalysts. Another month of strong payrolls and acceleration in inflation would likely shift the stance of more Fed policymakers from broadly neutral to hawkish.

Avoiding concentration risks in equities and tech. Global equities scaled record highs this week, despite renewed Middle East tensions and US proposal to impose 10-12.5% tariffs against trade partners. The AI supercycle continues to drive risk appetite as the consensus lifts AI capex assumptions and AI-related price targets. Our AI capex upgrade in April was a measured 5-10ppts amid concerns including funding constraints – witness the latest surge in debt issuance and IPOs - and execution bottlenecks around power and infrastructure.

We remain long-term bullish on the AI supercycle but short-term cautious, given extremely stretched investor positioning, which raises the risk of a 5-10% pullback. We prefer the equal-weighted global equity index in the near-term and diversification in the tech sector from AI-enablers such as semiconductors and hardware to AI adopters, such as internet and software.

Trillion-dollar IPOs to strain near-term liquidity. Three major upcoming trillion-dollar IPOs - SpaceX, OpenAI, and Anthropic - are expected to reshape index weights and market liquidity. Index providers are fast-tracking inclusion rules. Near-term liquidity impact is estimated at USD 140-280bn. This argues for reducing concentration risk and bracing for volatility.

The ECB expected to deliver a 25bps "insurance" hike next week. Euro area headline inflation rose to 3.2% in May, strengthening the case for a hike in June, but core inflation was relatively subdued at 2.5%. Weaker growth - reflected in negative economic surprises readings, contracting PMIs and slump in consumer confidence and retail sales since the Middle East conflict started - argues against rapid follow-up rate hikes. A prolonged Strait of Hormuz closure could force further action though. Against this backdrop, EUR/USD is likely to trade within the 1.15-1.18 range, with volatility at its lowest since 2020.

The Fed's Beige Book signalled slight-to-moderate growth across ten of twelve districts, with improving momentum despite the energy shock. Manufacturing strengthened in nine districts, boosted by defence and data centre demand. Consumer sentiment stayed mixed, maintaining the wide gap between low- and high-income households, with rising credit card use and weaker discretionary outlays. Labour markets remained in a "low-hiring, low-firing" mode, which was also reflected in the JOLTS job openings report. Prices rose moderate-to-strong, pressured by energy spillovers, compressing margins.

US payrolls, inflation data are next macro catalysts: Latest US activity data and subdued jobless claims suggest US payrolls for May are likely to post another month of solid gains (consensus: 88,000), potentially pushing the jobless rate down. However, beneath the job market's resilience, real disposable incomes are falling and the savings rate has dropped below 3%, close to the lowest in recorded history, signalling stress among households amid rising energy costs. Given these conflicting pressures, we expect the Fed to stay on hold for now.

Avoid duration risk in bonds, stay with 5-7-year maturities. A solid US payrolls data, followed by any further acceleration in inflation (consensus for core CPI: 0.3% m/m) would strengthen the hawks in the Fed policymaking committee. US government bonds face tension between firm economic data and inflation and fiscal policy risks and crowded short positioning. We continue to prefer 5-7-year maturities in our bond allocations, while hedging inflation risks with inflation-protected bonds. We continue to see value in AUD bonds, given RBA rate hikes have been largely priced, and our constructive view on AUD.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

(+) factors: Strong business confidence indicators in the US and China; US-Iran truce optimism

(-) factors: US-Iran, Lebanon ceasefires strained; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	• US Chicago PMI jumped to 62.7 in May from 49.2, well above the 50.5 consensus • US ISM manufacturing PMI rose to 54.0 in May from 52.7, above 53.0 expected • China non-manufacturing PMI rose to 50.1 in May from 49.4; manufacturing PMI slowed to 50.0 • US private sector employment (ADP) increased 122,000 in May, above consensus	• US JOLTS job openings jumped to 7.6mn in April from 6.9mn, signalling labour market tightness • Euro area core CPI rose to 2.5% y/y from 2.2%, above 2.4% expected; headline CPI accelerated to 3.2% y/y from 3.0% • Euro area unemployment rate held at 6.3%, above the 6.2% consensus • Euro area retail sales fell 0.4% m/m (annual growth slowed to 1% y/y) in April
	Our assessment: Neutral – Activity data in the US and China were resilient, but Euro area inflation accelerated	
Policy developments	• Fed's Williams signalled rates on hold amid inflation risks	• Fed's Hammack and Logan signalled hawkishness, keeping focus on inflation vigilance • BoJ's Ueda and BoE's Mann signalled hawkish stance
	Our assessment: Negative – Hawkish central banks bias	
Other developments	• U.S.-Iran alongside Israel-Lebanon ceasefire/talks optimism improved sentiment	• US and Iran renewed clashes, putting strain on truce • China's crackdown on offshore brokerages weigh on China-related sentiment • US proposed 10-12.5% tariffs on dozens of trade partners
	Our assessment: Neutral – Ongoing US-Iran peace talks vs. renewed Middle East clashes and renewed tariff uncertainty	

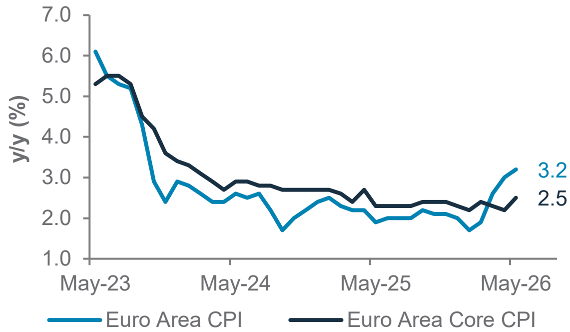
US manufacturing sector business confidence and new orders continued to rise amid pick up in defence spending and AI-related investment

ISM manufacturing PMI and ISM new orders PMI

Source: Bloomberg, Standard Chartered

The acceleration in Euro area headline inflation raises the odds of a 25bps ECB rate hike next week, although still-subdued core inflation reduces the chance of follow-up rate hikes in H2

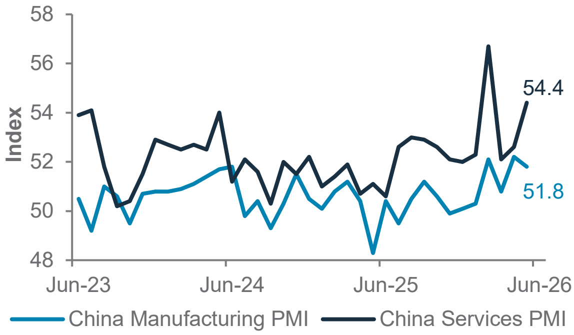
Euro area headline and core consumer inflation



Source: Bloomberg, Standard Chartered

China's manufacturing sector business confidence rebounded amid strong external demand, although services sector confidence remains subdued

China manufacturing vs services PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Amid tech sector equities' continued outperformance, what fundamental drivers support a broadening trade across the rest of the market?

Our view: Maintain a diversified equity portfolio; rotate from semiconductors into Internet names within technology.

Rationale: We remain **structurally positive on AI**, but our **near-term stance has turned more cautious** on stretched positioning following the semiconductor sector rally. Combined US equity positioning is now at extreme levels (over +1.75 std deviations). Historically, this pattern suggests potential drawdowns of around 10% in the SPX Index over the next three months. Furthermore, consensus AI capex assumptions have grown progressively aggressive, leaving the trade vulnerable to any shift in narrative, particularly if **geopolitical risks** or **AI funding concerns** intensify.

Amid this, we advocate broader **equity portfolio diversification**. Within tech, we prefer reducing semiconductor exposure for **Internet names**, where risk-reward appears more attractive. In addition, our **MSCI World Equal Weight opportunistic idea** is supported by lower concentration risk ahead of US mid-term elections (historically a volatile period, with an average peak-to-trough drawdown of 16.3% since 1990) and more exposure to the physical economy and cyclical sectors (e.g., industrials, financials, materials), which should benefit in a soft-landing scenario underpinned by resilient macro data.

— **Michelle Kam, CFA,** *Investment Strategist*

The Global Equal Weight Index skews towards cyclicals, supported by resilient macro backdrop

Sector weights across MSCI World and Equal Weight indices

Sector	MSCI World*	MSCI World Equal Weight*
Industrials	11.3%	18.6%
Financials	15.3%	17.7%
Technology	30.7%	14.6%
Discretionary	9.2%	9.0%
Healthcare	8.6%	8.2%
Materials	3.4%	6.7%
Staples	5.0%	6.1%
Utilities	2.5%	5.5%
Communication	8.7%	4.8%
Real estate	1.7%	4.6%
Energy	3.8%	4.3%

*Data as of 29-May-2026

Source: FactSet, Standard Chartered

How should investors position themselves ahead of the mega tech initial public offerings (IPOs)?

Our view: Reduce US technology concentration risk and broaden exposure.

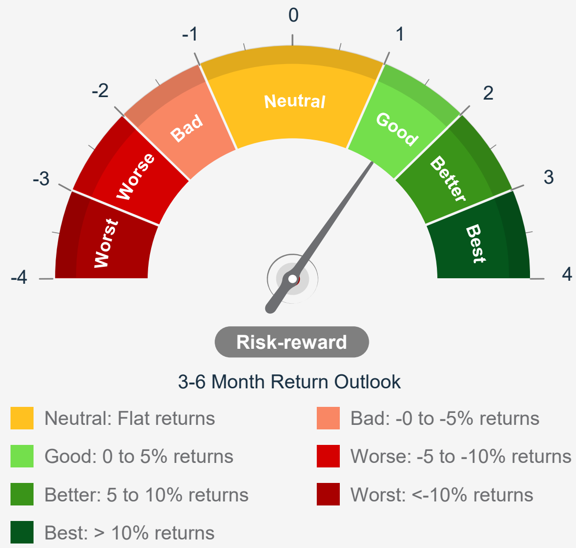
Rationale: The US equity market faces a wave of **trillion-dollar listings** that could become the next major catalyst for stocks, reinforcing confidence in AI as a durable, investable theme across the broader technology sector. However, index implications are likely to trigger near-term volatility. As exchanges fast-track inclusion rules, benchmark composition could shift meaningfully. **Rotation effects** are expected to intensify, with more investors trimming existing positions to allocate to new listings. Insiders will also likely reduce their positioning gradually post-listing as lock-up restrictions expire, adding another potential volatility catalyst.

The ongoing upward revisions to AI capex assumptions ahead of the mega IPOs also signal **growing funding challenges**. AI spending is increasingly reliant on debt or equity issuance, which is complex in a mixed macro environment. Our June 2026 **AI Bubble Meter** has also moderated from 'better' to 'good' risk-reward, implying a more limited upside of 0-5% over the next 3-6 months. We continue to favour US technology but prefer to dial down concentration risk.

— **Jason Wong,** *Senior Equity Analyst*

Our June 2026 AI Bubble Meter has moderated from 'better' to 'good' risk-reward

AI Bubble Meter for June 2026



Source: Standard Chartered

Top client questions (cont'd)

Would strong US job openings data alter your outlook on the US 10-year government bond yield?

Our view: Stronger-than-expected US nonfarm payrolls would likely result in the US 10-year government bond yield retesting May's 4.6-4.7% highs in the short term.

Rationale: US nonfarm payroll growth has been weak and volatile over the past year, with monthly gains averaging only around 22,000 – consistent with a **stagnating, rather than expanding, labour market** – with job gains in one month often reversed in the next.

Against this backdrop, a positive May payrolls print would mark a third consecutive month of gains, signalling a more hawkish tone for markets. However, the **broader labour picture remains mixed**. April job openings rose sharply to 7.62mn, well above expectations. The quits rate stayed low at 1.9%, suggesting workers remain reluctant to change jobs, which tempers the strength implied by the openings data. In addition, recent payroll gains lack breadth. April hiring was concentrated in transportation and utilities, while several major sectors shed jobs. Unless May hiring is broad-based, the policy signal for the Fed will remain limited. An in-line or softer print would keep yields within our near-term **4.25-4.5%** range.

— **Ray Heung,** *Senior Investment Strategist*

A strong US jobs print and a break away from the 'low-hiring, low-firing' mode are conditions likely needed for the US 10-year government bond yield to move sustainably higher

US 10-year government bond yield

Source: Bloomberg, Standard Chartered

Would accelerating EU inflation prints alter your view of one 'insurance' hike by the ECB before year-end 2026? What would be the implications for the Euro (EUR)?

Our view: Our view of one 25bps June ECB hike, followed by a pause, remains. EUR/USD likely to remain within 1.1510-1.1780.

Rationale: Euro area inflation accelerated further in May, with headline Harmonised Index of Consumer Prices (HICP) rising to 3.2% and core inflation at 2.5%. The broadening price pressures strengthen the case for a **June ECB hike**, but weaker growth signals and softer medium-term expectations argue against a rapid follow-up move. This is reflected in continued negative Economic Surprise Index readings, a contracting Purchasing Managers' Index (PMI) and declining industrial production since the Middle East conflict began. The risk to this **one-hike-and-pause stance** is a prolonged Hormuz strait closure beyond our expected few more weeks, which could spike energy prices and force the inflation-targeting ECB's hand.

EUR/USD is expected to remain within a narrow range. Nonetheless, any Euro strength is likely to be countered by persistent USD resilience. Recent US labour data has reinforced expectations of a **Fed on hold**. Since mid-May, EUR/USD has traded in a tight band, with FX volatility at its lowest since 2020. Near-term direction will hinge on nonfarm payrolls and next week's consumer inflation data, and US-Iran developments. Technically, the pair remains **rangebound with bearish bias** below key moving averages.

— **Ray Heung,** *Senior Investment Strategist*

— **Iris Yuen**, *Investment Strategist*

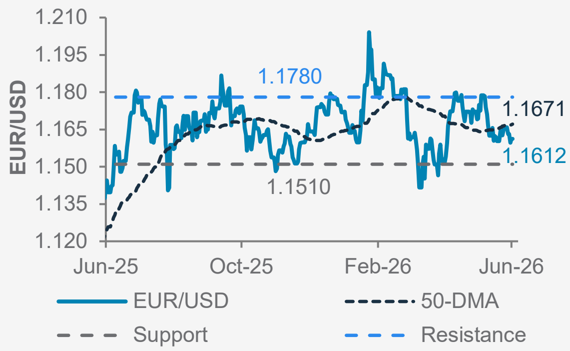
Euro area economic data began weakening shortly after the start of the Middle East conflict

Citi Economic Surprise Index – Euro area

Source: Bloomberg, Standard Chartered

EUR/USD has been hovering around its 50-day moving average (DMA), remaining rangebound

EUR/USD and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

How should investors read the ECB's June 2026 report that gold has overtaken US government bonds as the world's largest reserve asset?

Our view: Gold's rise reflects continued demand for reserve diversification. We expect this structural bid to persist but view any near-term dips in gold towards USD 4,100-4,400/oz as accumulation opportunities.

Rationale: The ECB's 2 June report marks a notable milestone: at market prices, **gold has overtaken US Treasuries** as the world's largest reserve asset. We do not view this as a break in the global reserve order, but rather a reflection of the combined effect of higher gold prices and sustained central bank purchases over recent years. In our view, the **USD remains core** to the international reserve system.

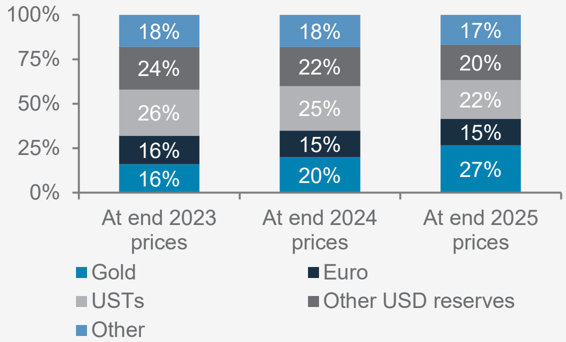
That said, the broader trend in gold demand remains intact. Amid heightened geopolitical fragmentation, sanctions risks and concerns over the long-term US fiscal outlook, gold's appeal as a reserve asset with no sovereign issuer is expected to remain strong. We believe gold's share of global reserves will continue to rise gradually over time, reflecting ongoing **reserve diversification** rather than USD displacement.

Near-term, however, the path may be less linear. Gold is testing a **critical technical level** near USD 4,400/oz (200DMA), risking a breach and a deeper correction towards USD 4,100/oz. We would treat any pullback into this range as an accumulation opportunity.

— **Anthony Naab, CFA**, *Investment Strategist*

The rising gold price is lifting bullion's share of global official reserves

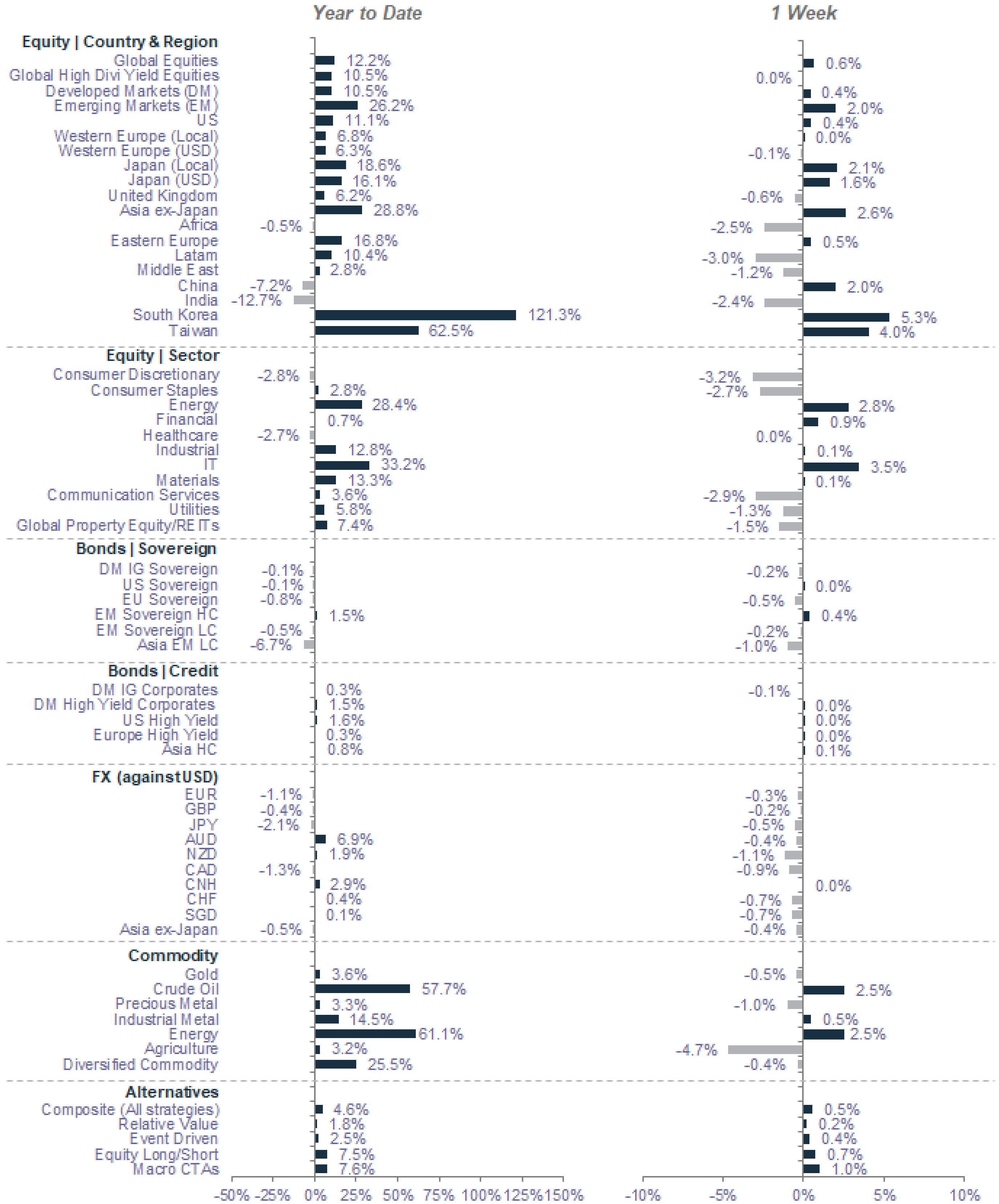
Share of Euro, US Treasuries and gold in official reserves



Source: The International role of the Euro, ECB, June 2026

Note: Year-end 2025 reserve holdings held constant; gold revalued at end-period LBMA PM Fix for each year shown

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 4 Jun 2026; 1-week period: 28 May 2026 to 4 Jun 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	◆	Europe ex-UK Financials	▲
Japan	◆	China Communication	▲
Other EM	◆	China Technology	▲
		China Healthcare	▲
Bonds	◆		
		Govt	
Credit		Govt EM Local	▲
Asia USD	◆	Govt DM IG	▼
Corp DM HY	◆		
Govt EM USD	▲	**Alternatives**	◆
Corp DM IG	◆		
		Gold	▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EC	Sentix Investor Confidence	Jun	–	-16.4
TUE	US	NFIB Small Business Optimism	May	–	95.9
	CH	Exports y/y	May	–	14.1%
	CH	Imports y/y	May	–	25.3%
	CH	Trade Balance	May	–	$84.82b
WED	CH	PPI y/y	May	–	2.8%
	CH	CPI y/y	May	–	1.2%
	US	CPI y/y	May	4.2%	3.8%
	US	Core CPI y/y	May	3.0%	2.8%
THU	EC	ECB Deposit Facility Rate	11-Jun	–	2.0%
	EC	ECB Main Refinancing Rate	11-Jun	–	2.2%
	US	Initial Jobless Claims	6-Jun	–	–
	US	Continuing Claims	30-May	–	–
	US	PPI Final Demand y/y	May	–	6.0%
	US	PPI Ex Food & Energy y/y	May	–	5.2%
FRI/SAT	US	U. of Mich. Sentiment	Jun P	47.0	44.8
	US	U. of Mich. Expectations	Jun P	–	44.1
	US	U. of Mich. 1y Inflation	Jun P	–	4.8%
	US	U. of Mich. 5-10y Inflation	Jun P	–	3.9%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,726

Technical indicators for key markets as of 4 Jun close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,584	7,338	7,726	21.0	1.2
STOXX 50	6,103	5,860	6,246	15.3	3.1
FTSE 100	10,360	10,155	10,561	12.7	3.5
TOPIX	3,952	3,802	4,059	16.9	2.3
Shanghai Comp	4,058	3,974	4,200	13.7	3.0
Hang Seng	25,253	24,372	26,490	10.7	3.5
Nifty 50	23,417	22,885	24,215	18.0	1.8
MSCI Asia ex-Japan	1,170	1,094	1,222	12.9	2.0
MSCI EM	1,759	1,655	1,831	12.2	2.3
Crude oil (WTI)	93.0	83.1	106.2	na	na
Gold	4,475	4,303	4,710	na	na
UST 10Y Yield	4.47	4.30	4.67	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 4 Jun close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.96
Global Equities	◐	↓	1.37
Gold	◐	↓	1.42
Equity			
MSCI US	◐	↓	1.35
MSCI Europe	●	↓	1.65
MSCI AC AXJ	◐	↓	1.39
Fixed Income			
DM Corp Bond	●	↑	2.40
DM High Yield	●	→	1.69
EM USD	●	↑	1.88
EM Local	●	↓	1.79
Asia USD	●	↑	2.58
Currencies			
EUR/USD	●	↑	2.58

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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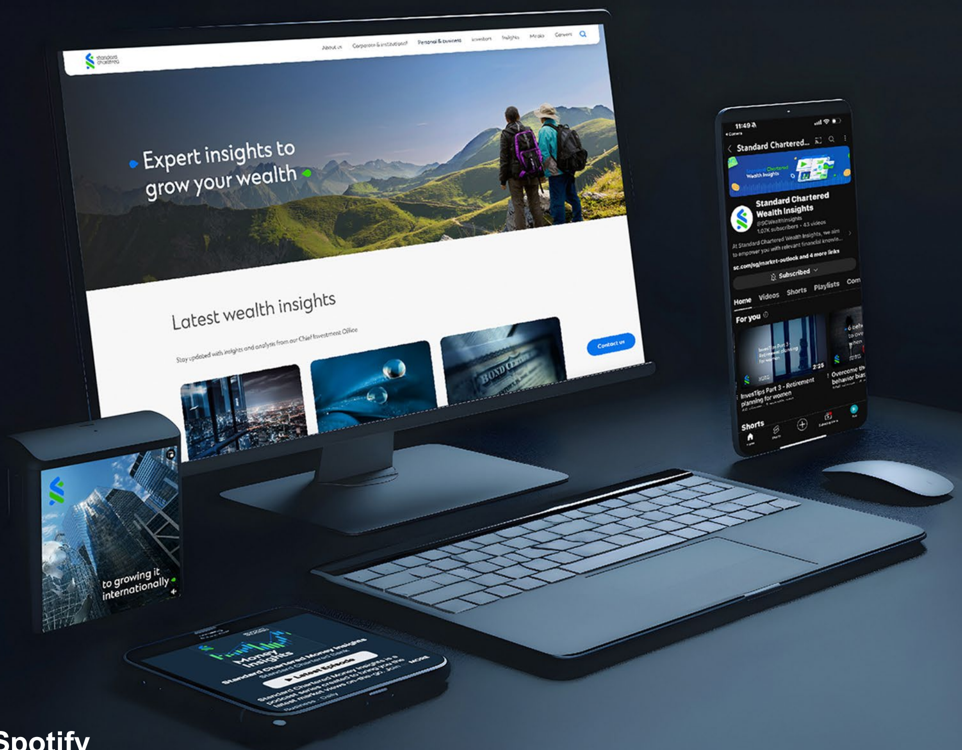

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